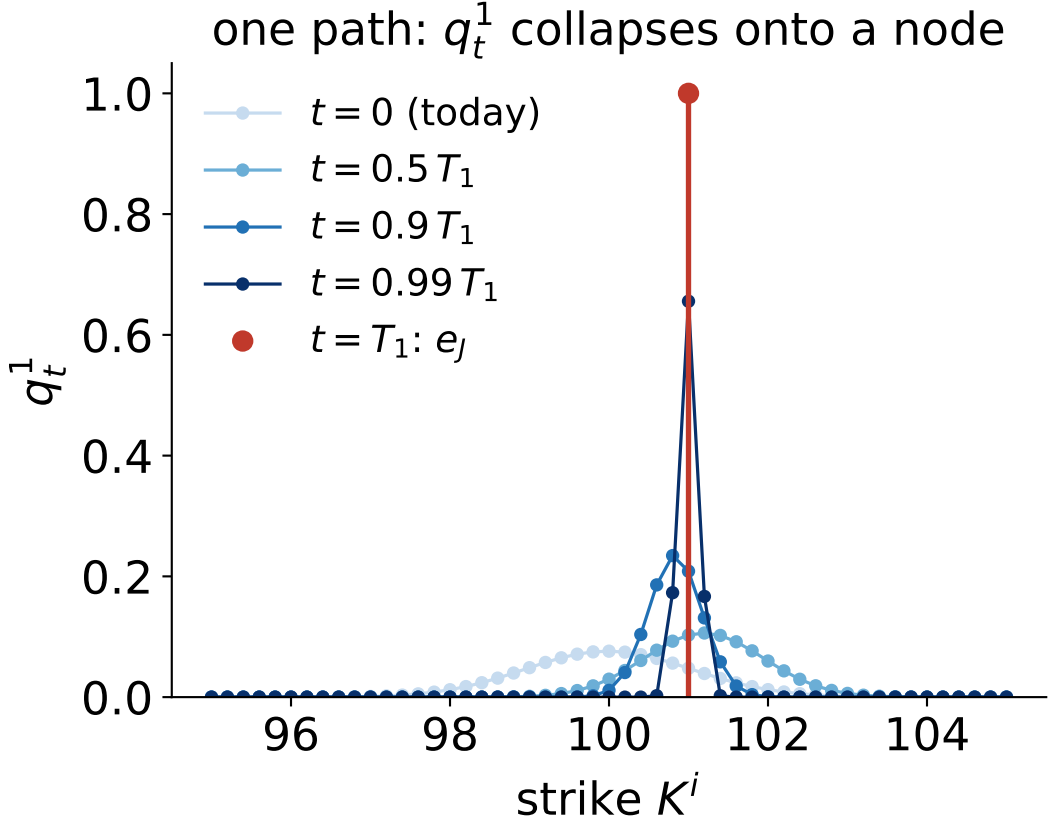
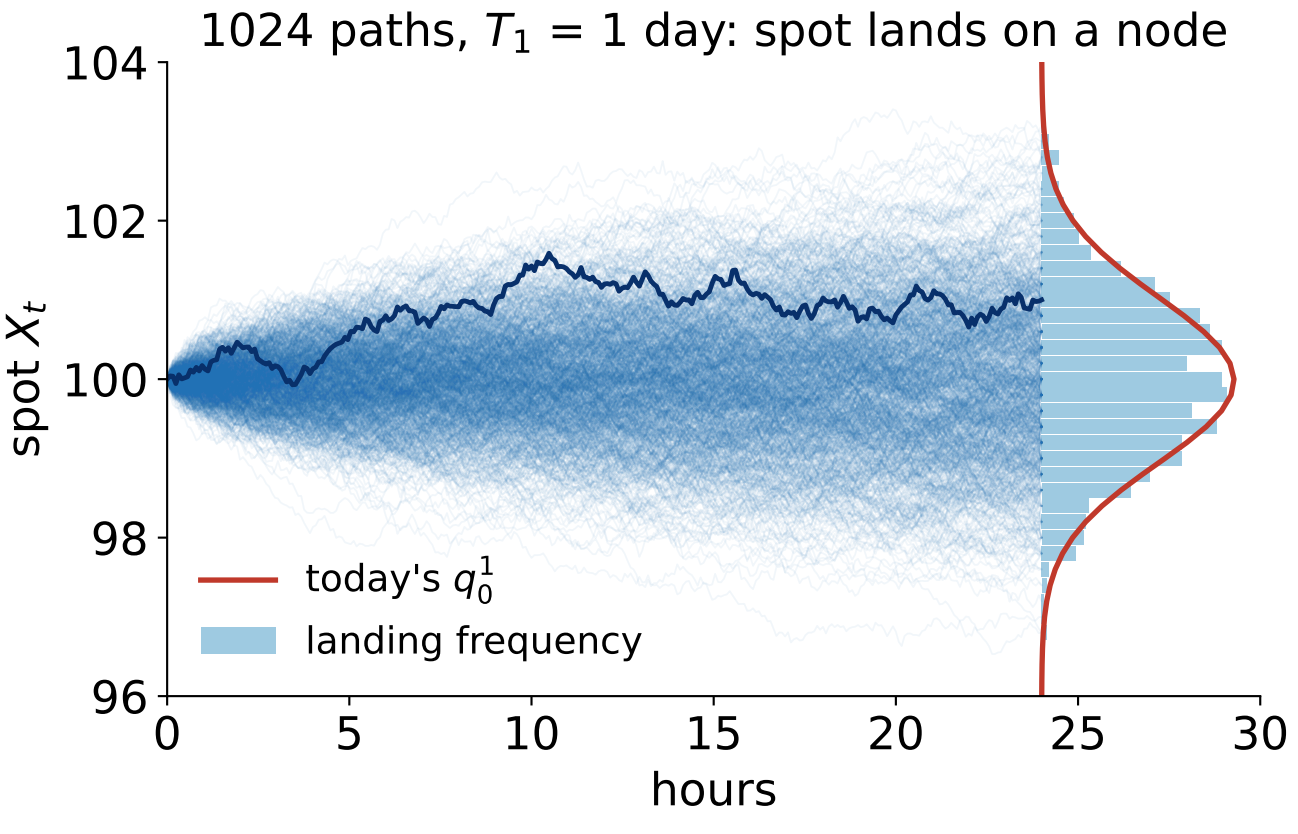

one path: q_t^1 collapses onto a node
$t = 0$ (today)
$t = 0.5\,T_1$
$t = 0.9\,T_1$
$t = 0.99\,T_1$
$t = T_1$: e_J
q_t^1
strike K^i
0.0
0.2
0.4
0.6
0.8
1.0
96
98
100
102
104


1024 paths, T_1 = 1 day: spot lands on a node
spot X_t
hours
today's q_0^1
landing frequency
96
98
100
102
104
0
5
10
15
20
25
30